

# How do you identify Early innovator



# Early innovator Characteristics

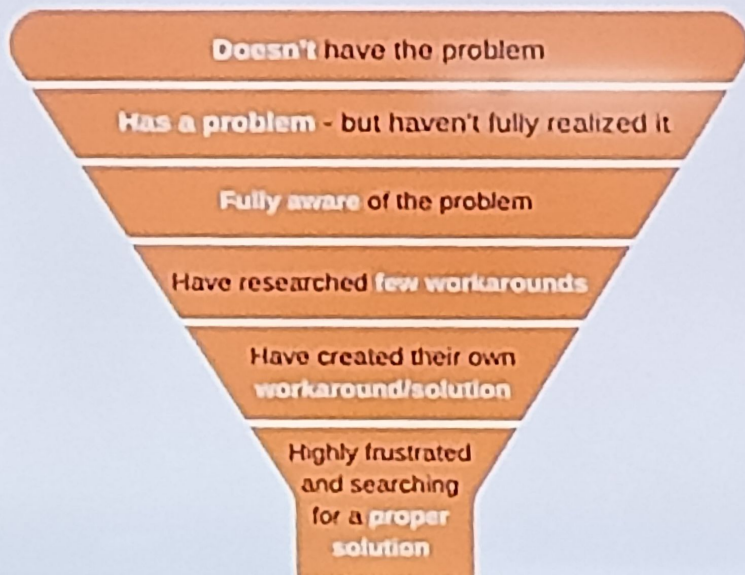
- **Willing to take Risk**
- **Tech focussed**
- **Proponents of revolutionary change**
- **Not very cost conscious**
- **Will do thorough research**
- **Want your product to succeed**

# Characteristics of Customers



|                             | Early Adopters                    | Early Majority | Late Majority | Laggards |
|-----------------------------|-----------------------------------|----------------|---------------|----------|
| Problem                     | "Not sure how to do Lean Startup" |                |               |          |
| Have the problem            | Y                                 | Y              | Y             | X        |
| Know they have it           | Y                                 | Y              | X             | X        |
| Actively seeking a solution | Y                                 | X              | X             | X        |

## Identify your early adopters





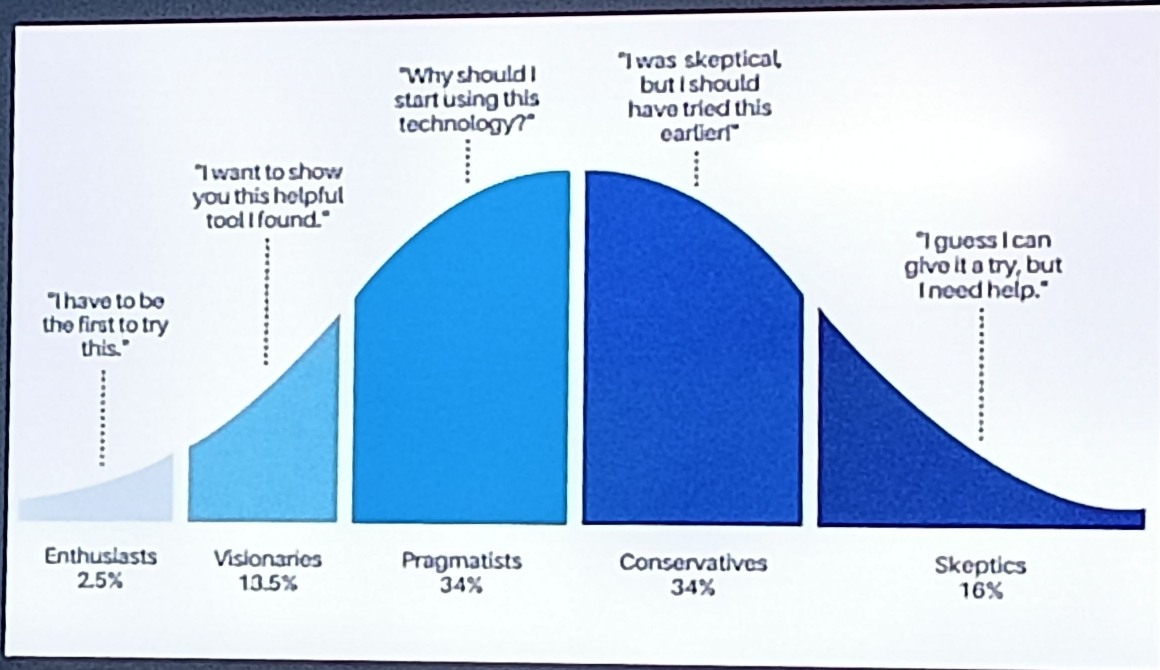
# Why do Early innovators matter ?

- No one to tell Early Majority about Product
- No Early Majority no one to convince Late Majority
- No Late Majority how will you find Laggards
- Entire Growth is dependent on Early innovators

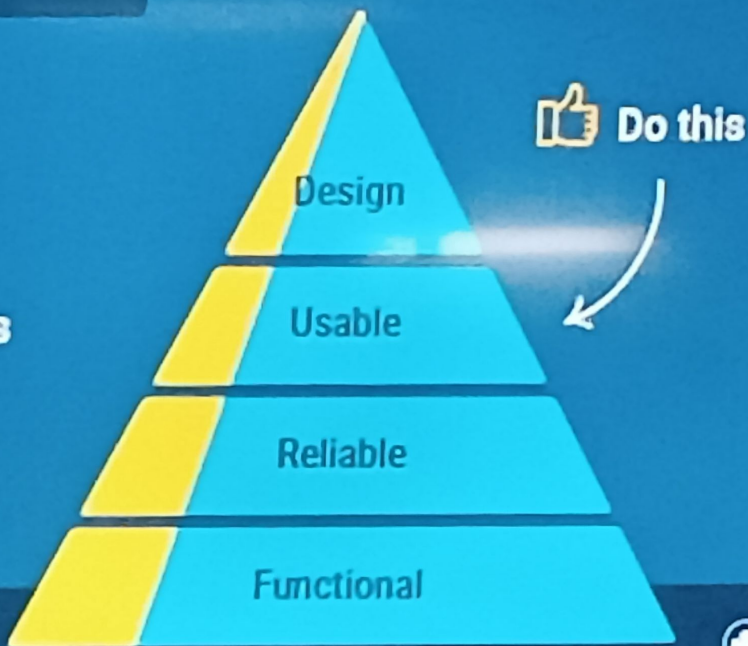
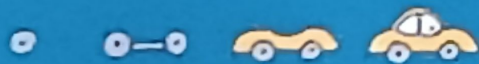
In fact...

If you can't find Early Adopters for your product, you won't find Product Market Fit.

# Customer segment distribution



# Minimum Viable Product





# Purposes of MVP

To Enter the  
Market with a  
Small Budget

To Create a Balance  
Between Company  
Offerings and Customer  
Needs

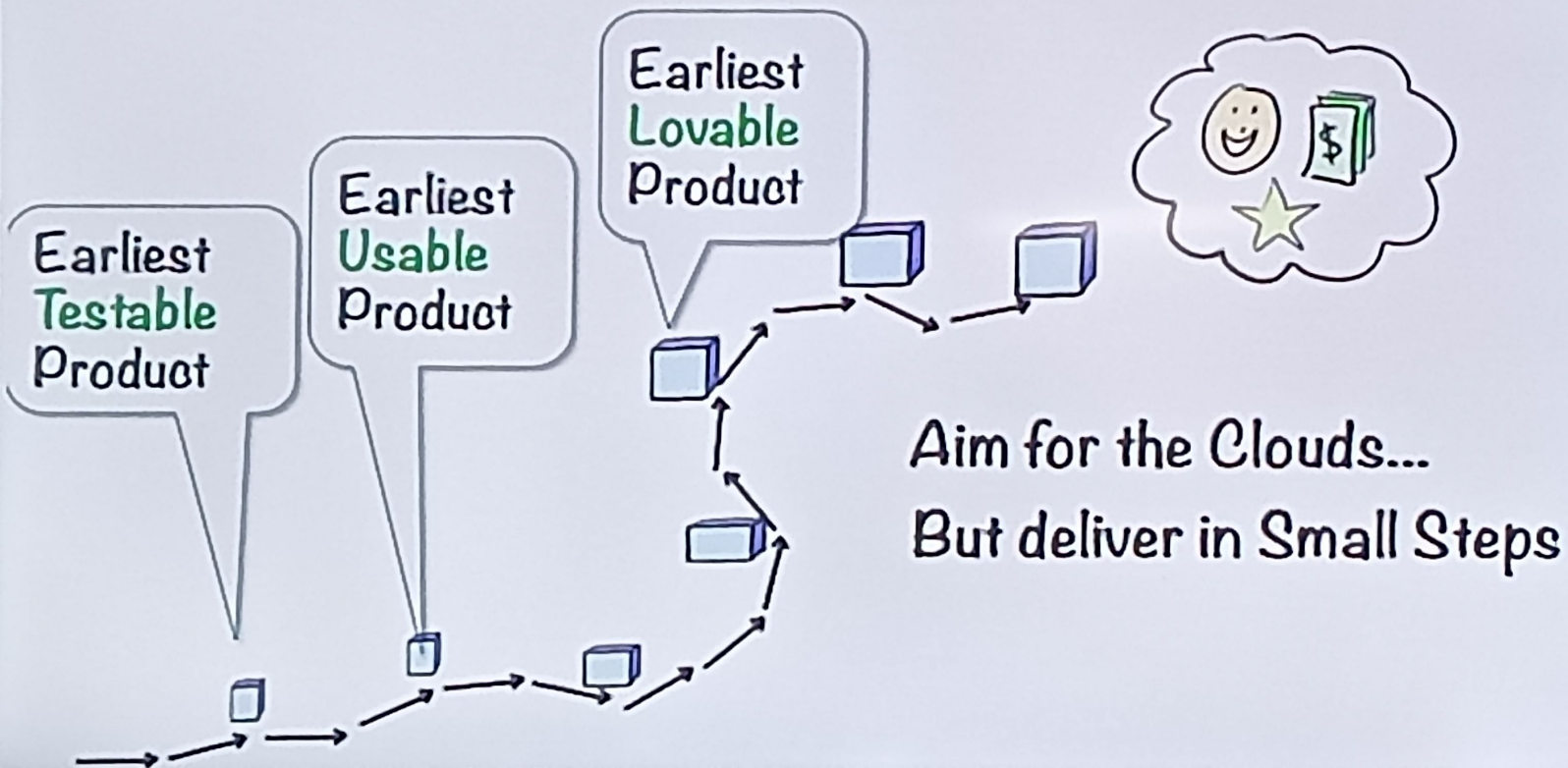
To Collect the  
Maximum Quality  
Feedback

To Minimize  
Errors

To Find the  
Right  
Audience



Minimum viable  $\Rightarrow$  Earliest testable/usable/lovable



## Value Proposition

- For each Customer Segment:
- What is their *PAIN*? or their *ACHE*?
- What is the *GAIN* for them to solve their pain or ache?
- What is their *DECISION TRIGGER*?
- How does your solution solve their problem/pain?
- Why is it **Better** than the current solution?

# Do you know your customer?

## The Problem



## Solution

- ~ Do you know what their problem is?
- ~ How important is it to the customer?
- ~ Why is it not being solved?
- ~ Why are present solutions inadequate?
- ~ Why now? – when does the problem become in need of a solution?



## Three rules of winning value propositions:

- Buyers have to want and need what you're selling. You have to resonate.
- Buyers have to see why you stand out from the other available options. You have to differentiate.
- Buyers have to believe that you can deliver on your promises. You have to substantiate.



**Resonate**  
"I Need"



**Differentiate**  
"Best Option"



**Substantiate**  
"I Believe"



*Creates foundation for...*

Premium Fees  
Sales Wins  
Loyalty

**Take One Away...**

**...Buyers Say**

Weak  
Resonance

Difficult to Substitute

Able to Substantiate



"I don't need"

Strong  
Resonance

Easy to Substitute

Able to Substantiate



"What's your best price?"

Strong  
Resonance

Difficult to Substitute

Not Able to  
Substantiate



"I can't risk it"

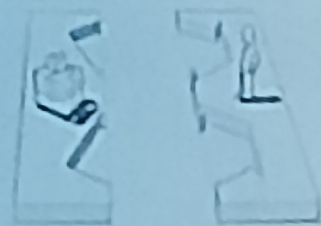
# Value Proposition

## Customer value creation:

- ~ "Getting the job done"
- ~ Performance
- ~ Customization
- ~ Design
- ~ Brand
- ~ Price



# Value Proposition



*Design*

*Accessibility*

**STATUS**

*Performance*



**NEW**

*Usability*

**Custom**

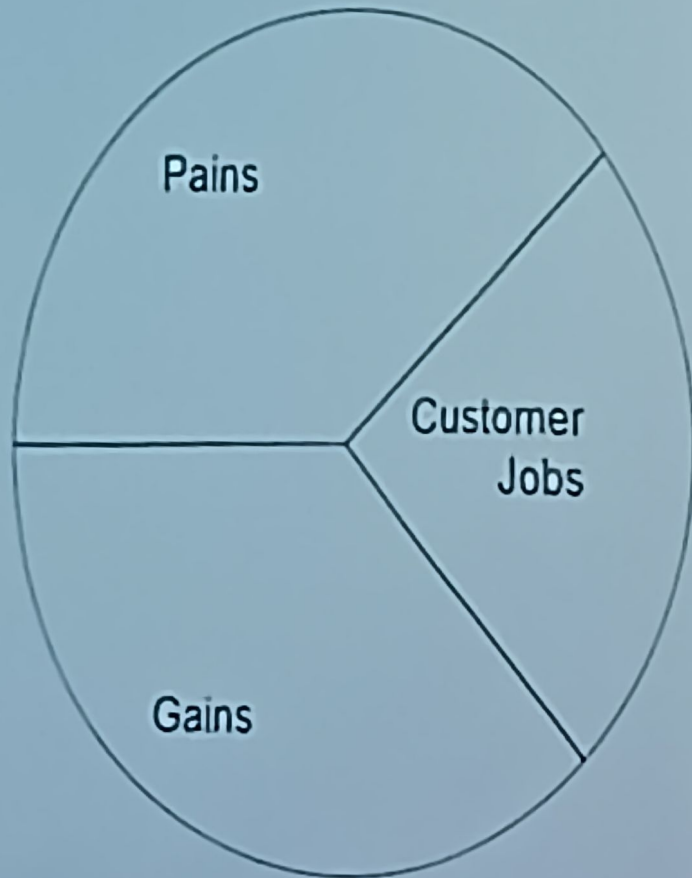
*Convenience*

\$PRICE

\$COST

\$

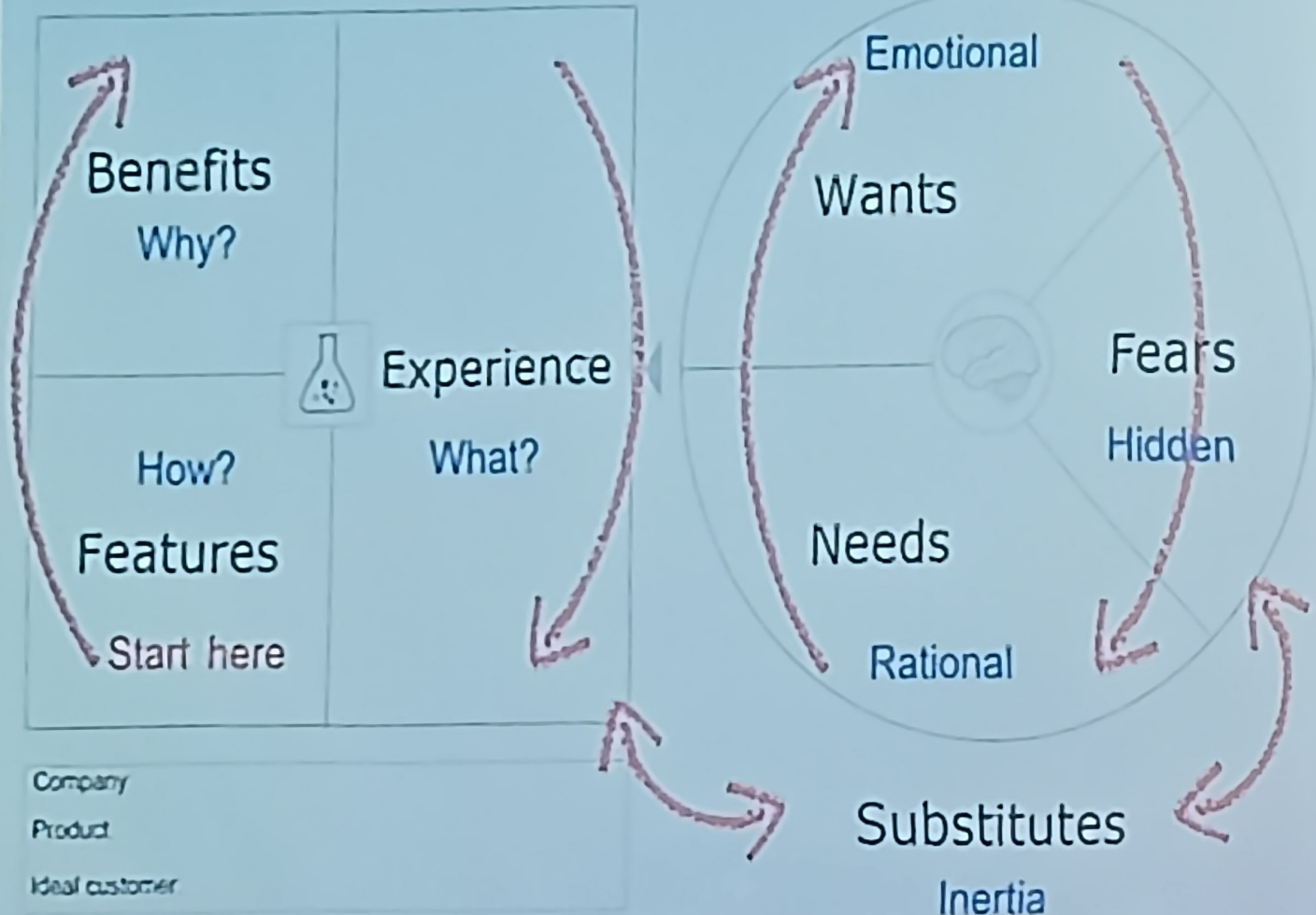
# Value Map & Customer Profile



# Value Proposition Canvas

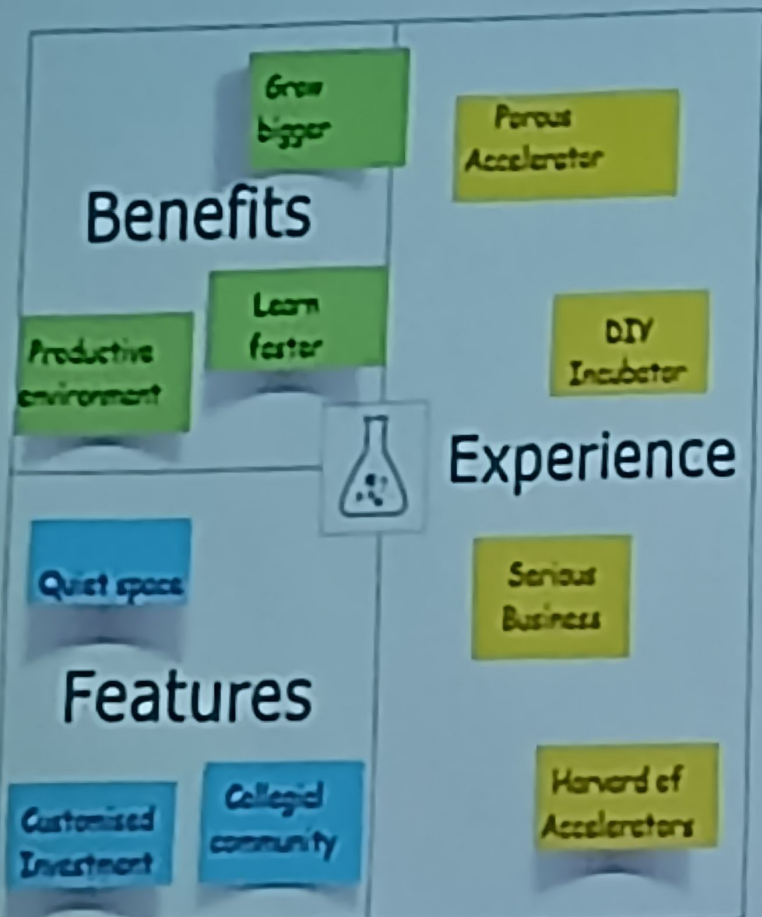
Product

Customer

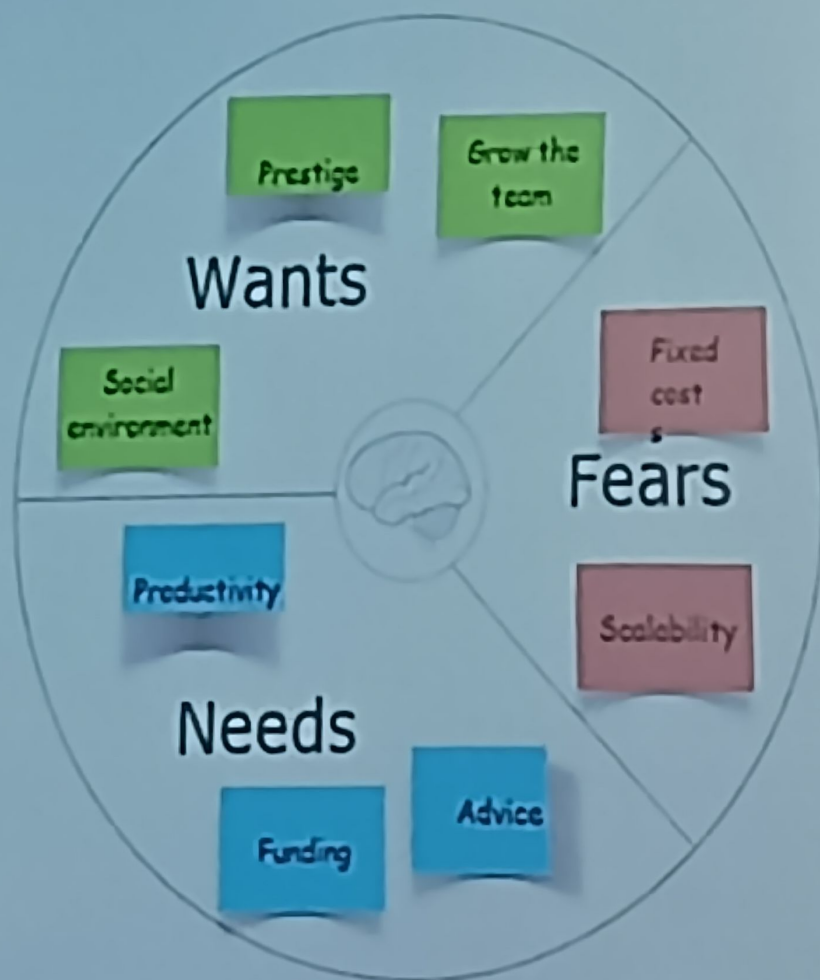


# Value Proposition Canvas

## Product



## Customer



Company: Innovation Warehouse Startup  
 Product: Accelerator High Growth Startups  
 Ideal customer:

Coffee shops

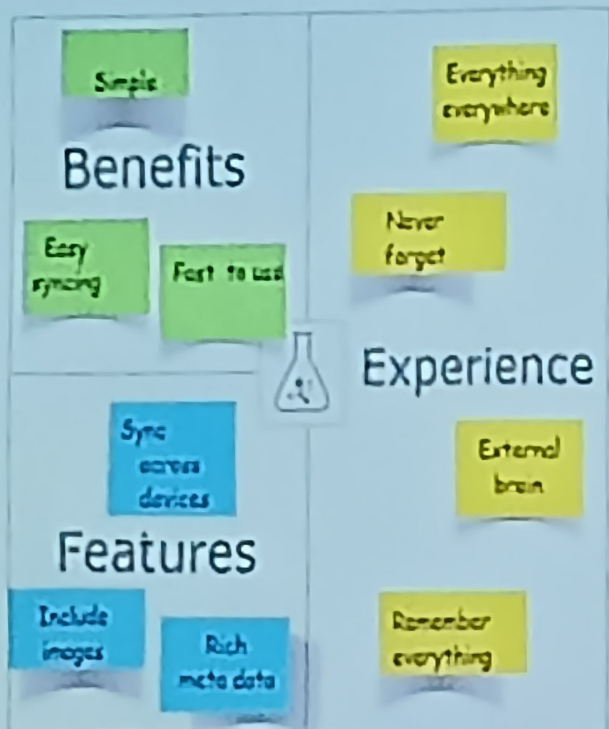
Substitutes

Rented offices

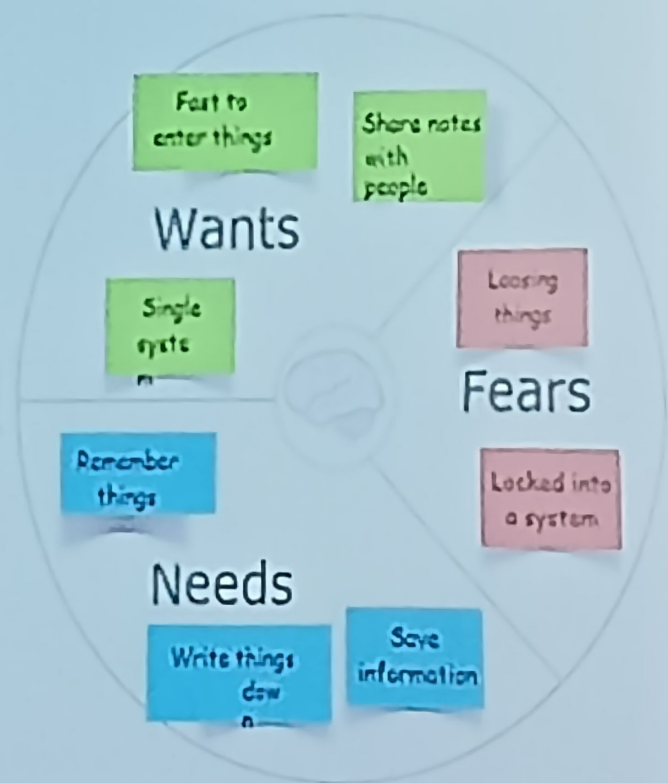


# Value Proposition Canvas

## Product



## Customer



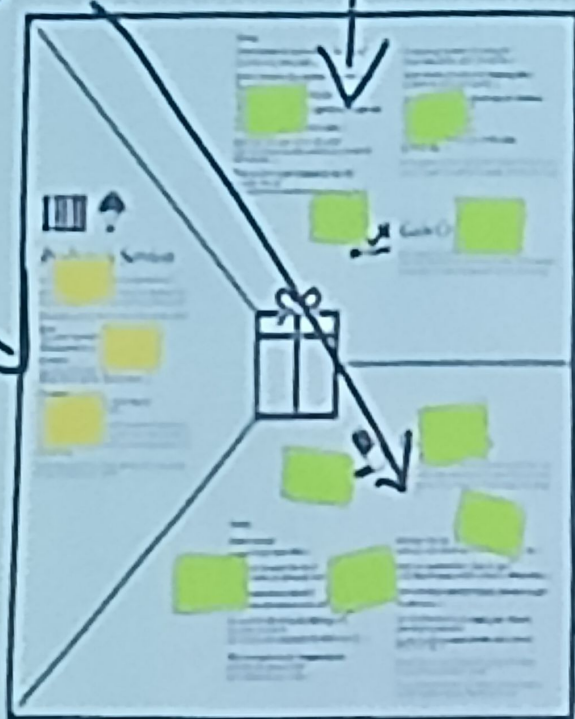
Company: Evernote  
 Product: Online notes  
 Ideal customer: Mobile professionals

Substitute

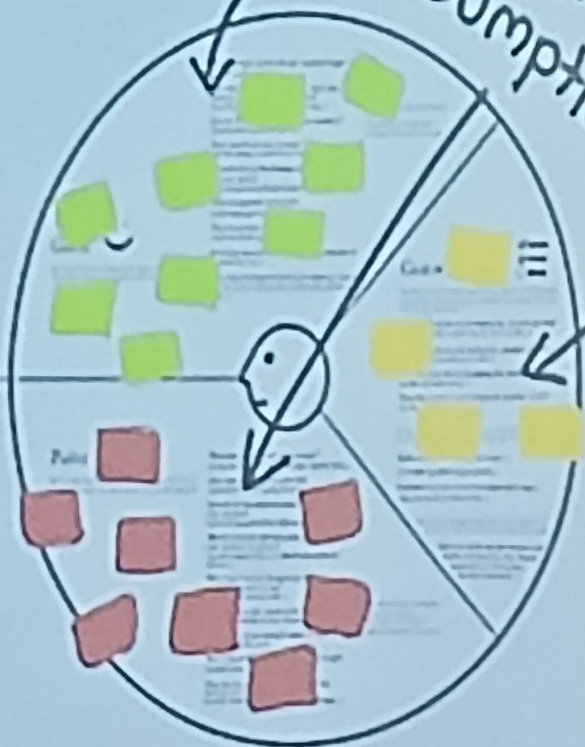
Text documents

S

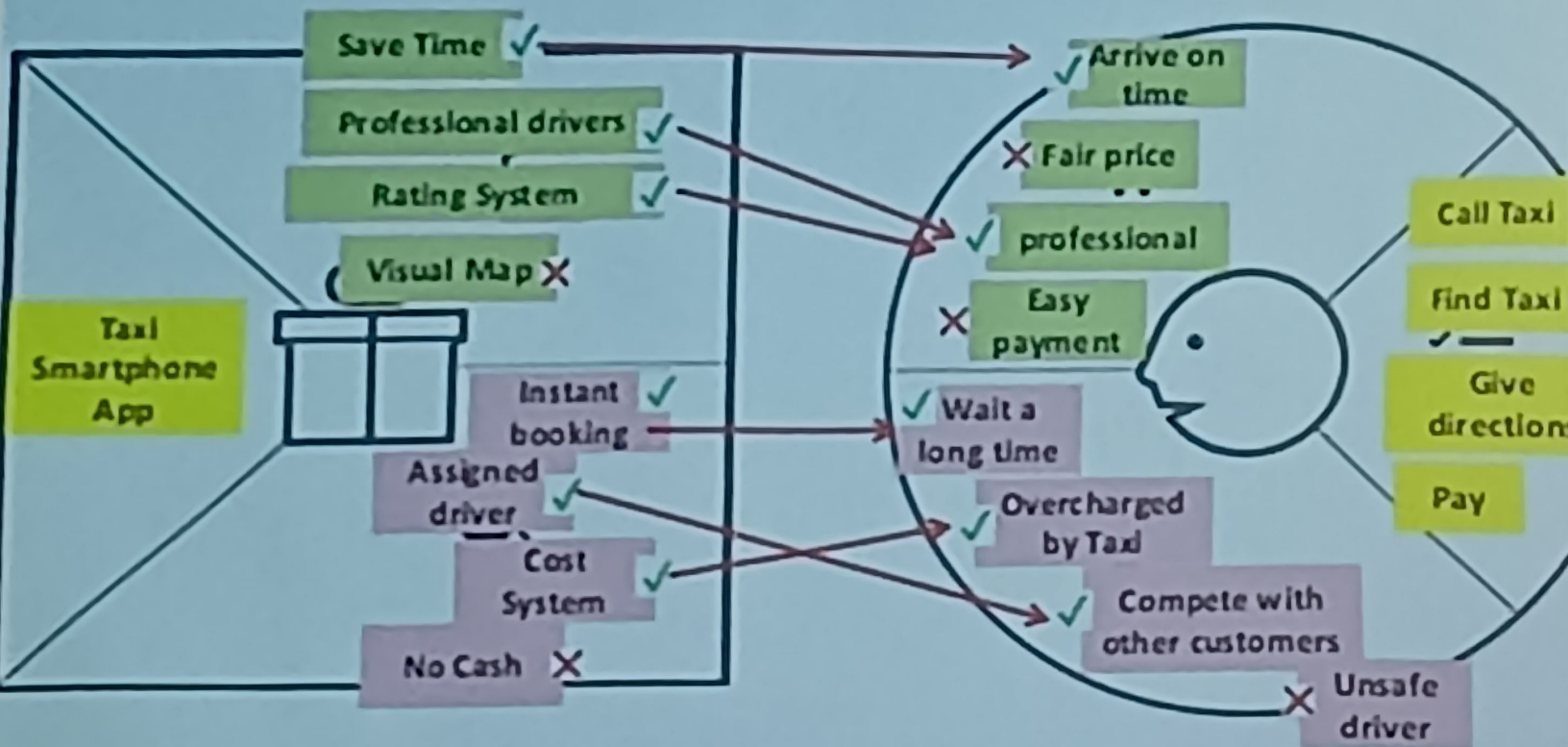
value prop  
assumptions



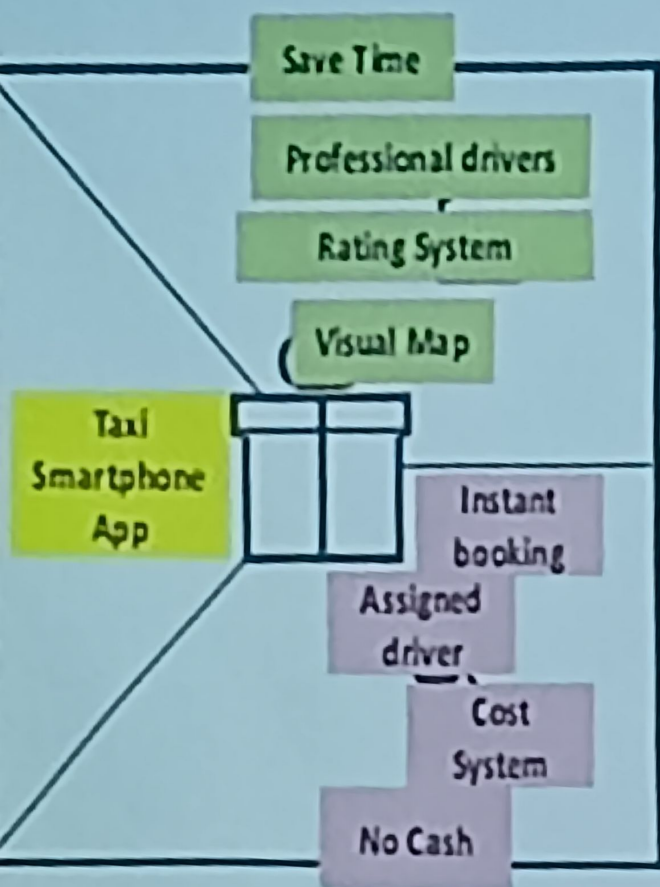
customer  
assumptions



# Taxi Smartphone Application



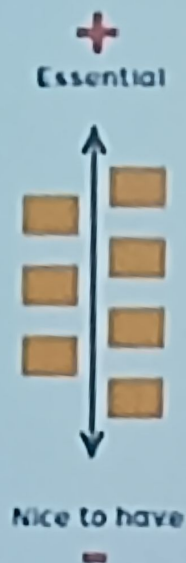
# RANKED



**Products & Services**  
Rank products & services from nice to have to essential



**Pain Relievers**  
Rank pains from nice to have to essential

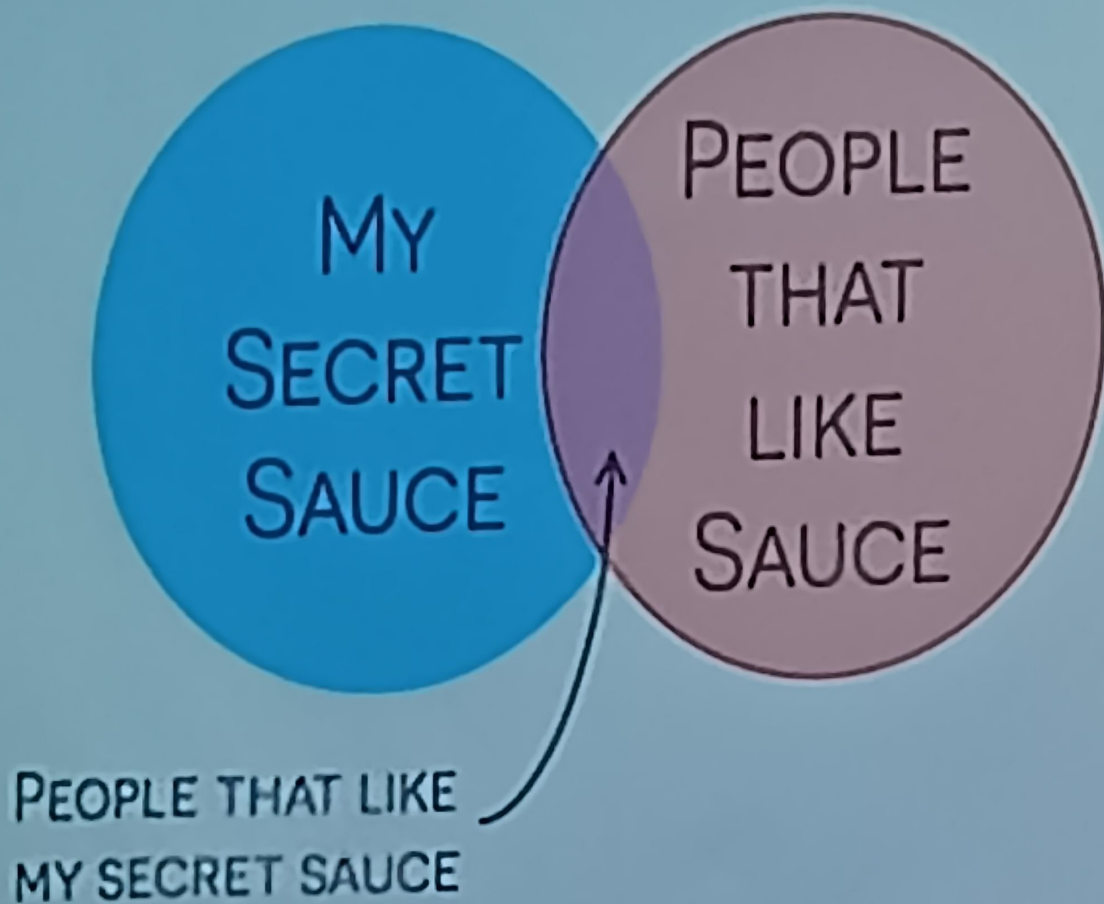


**Gain Creators**  
Rank gains from nice to have to essential





# My Customers !



# MARKET SEGMENTATION

```
graph TD; MS[MARKET SEGMENTATION] --> D[DEMOGRAPHICS]; MS --> P[PSYCHOGRAPHICS]; MS --> G[GEOGRAPHICS]; MS --> B[BEHAVIORAL]; D --> Age[Age]; D --> Gender[Gender]; D --> Income[Income]; D --> MS1[Marital Status]; D --> EB[Ethnic Background]; P --> A[Activities]; P --> Att[Attitudes]; P --> PV[Personality and Values]; G --> Local[Local]; G --> National[National]; G --> Regional[Regional]; G --> International[International]; B --> Benefits[Benefits]; B --> Usage[Usage Rates]; B --> Patterns[Patterns];
```

## DEMOGRAPHICS

Age

Gender

Income

Marital  
Status

Ethnic  
Background

## PSYCHOGRAPHICS

Activities

Attitudes

Personality  
and Values

## GEOGRAPHICS

Local

National

Regional

International

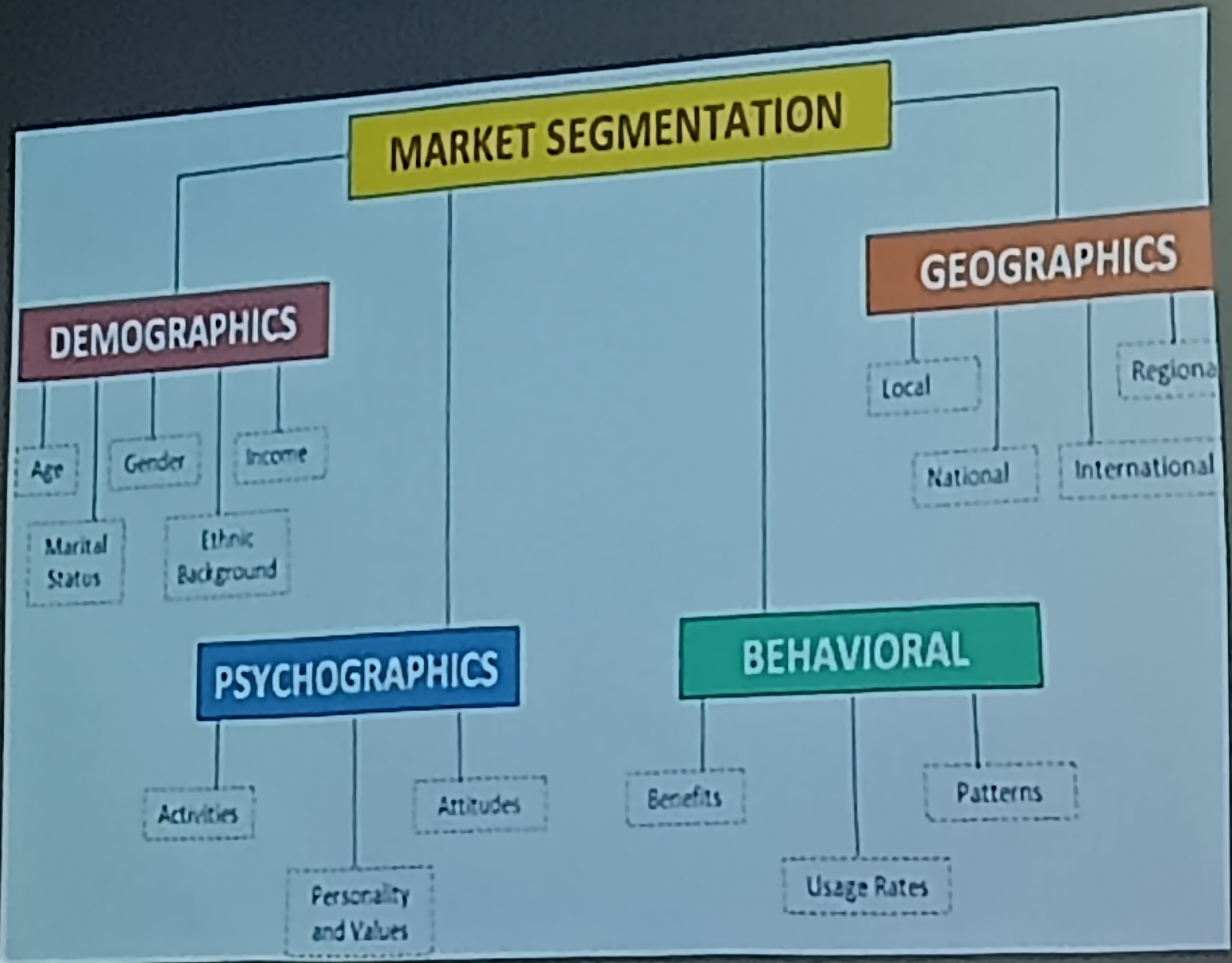
## BEHAVIORAL

Benefits

Usage Rates

Patterns

# Customer Segmentation



# Business Model - The Empathy Map

Author:

Date:

Iteration:

Anja

Thinks this will be a painful  
and slow process

Feels anxious and worried

Frustrated with having  
to find another vendor

Comparing and contacting  
them isn't easy.

Needs to get info and  
place an order quickly

Complaints from  
Senior Execs and  
her Client

Sales information

Advice and opinions  
from colleagues

Think and Feel?

Contact information

Hear?

See?

Vendor  
websites

Company information

Others who say TK  
is very reliable

Say and Do?

Reputation and Reviews

Looks for reputable vendors online

Locations and  
Shipping Options

Makes calls to colleagues for referrals

"I don't have time to waste."

Sets up calls with salespeople  
as fast as possible

"How quickly can I get an order shipped?"

PAIN

Lack of information on meeting an urgent need  
Poor online experience with some vendors  
No confirmation or easy follow-up

GAIN

Extensive information on choosing this company  
Great online / mobile experience for considering  
Easy path to connect with reliable local sales reps



# How to Prepare Customer Avatar

## Objections

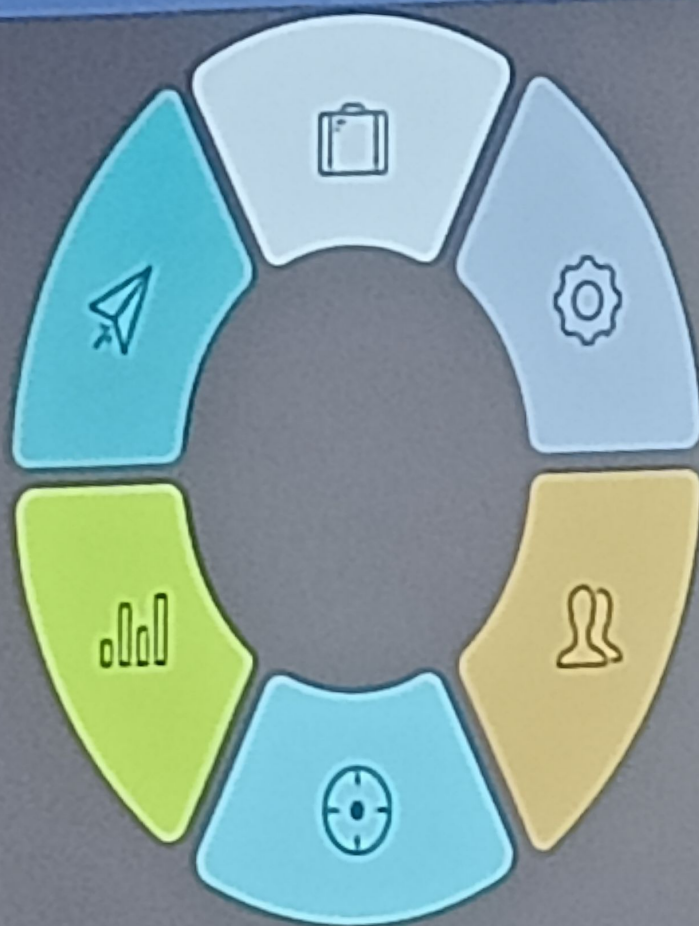
Employee training right fit, employees not available for work during training

## Challenges and Pains

Scaling company, Retaining talent.

## Desires

Becoming a famous tech startup CEO.  
Working from the beach.



## Characteristics

Determined, Able to focus, Decisive, Non complaining

## Pains

Spending too much money. Working 8-s stressed 8-s

## Fears

Wasting a good idea.  
Wasting Money, Not able to build product

# How to Prepare Customer Avatar

## Sources of information

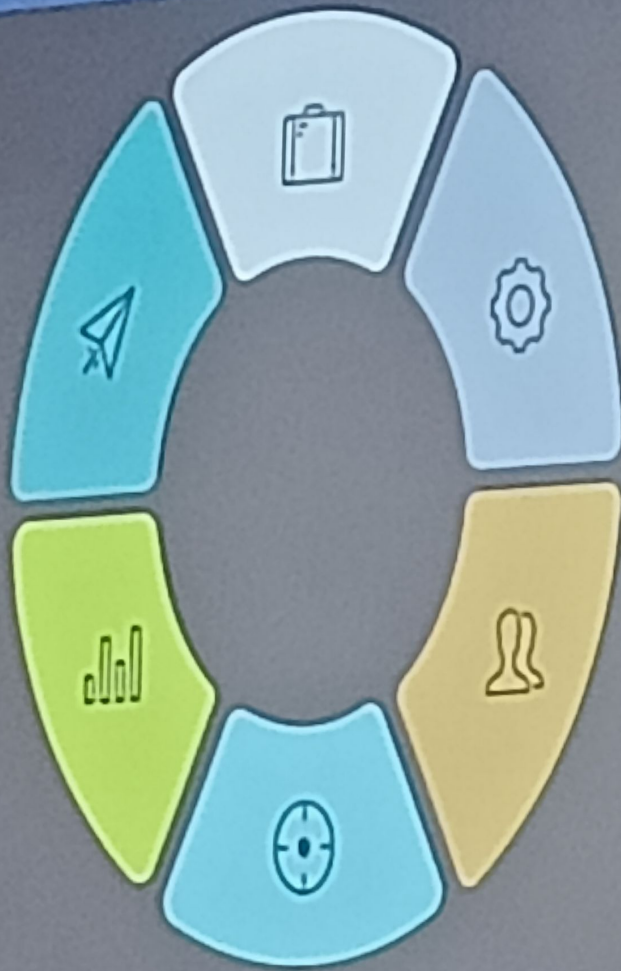
Which books, conferences, blogs, magazines

## Values

Providing value to customer, Ethical.

## Goals

Want to scale company in 3 years and sell company.



## Education

Postgraduate Engineering and Management

## Communication Habits

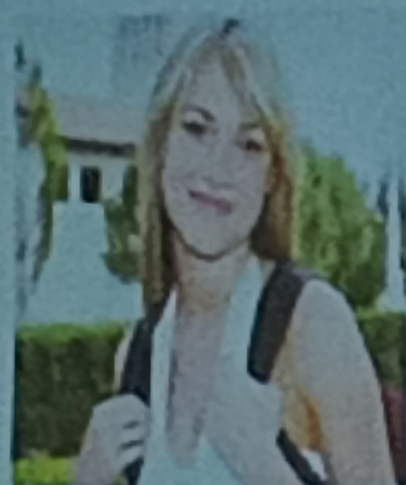
Prefers Instant Messenger, Email, hates phone call

## Role

Decision Maker, not price conscious



# Lauren Jules



"I need an app that is fast, simple, and easy. I need to record an idea before I forget it."

## Personal Description

Lauren is an undergrad engineering student in Chicago, IL. She has never used Evernote, but does use her phone to keep notes, usually using the stock Note Taking app. She finds it to be fast, easy, and simple, which are the main things she looks for in an app. She believes that pen and paper can never be replaced. She often finds herself using post-it notes for quick notes.

## Demographics

Age: 22

Education: Undergrad in Engineering

Location: Chicago, IL

Gender: Female

## Technological

Lauren has a laptop that she uses all the time while in class. She also has a tablet but right now it is inconvenient to use while in class because she can't type fast enough on it to keep up with the instructor. Lauren has a smartphone as well, but she only uses it for phone calls and for checking her email.

## Roles

Lauren is a student in Engineering at a university in Chicago. She also has a part time retail job so her schedule is very tight.

## Desires

Lauren doesn't believe that an app can ever replace taking notes on pen and paper. She finds that typing on a virtual keyboard is too slow. She desires an app that will allow her to take short notes quickly and easily. She finds herself constantly searching for a specific page of notes or post it so an app that would help keep her better organized is desired.

## Behaviors

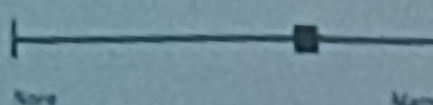
### Computer Usage



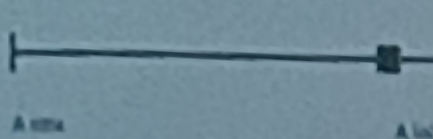
### Note Taking Devices



### Devices Owned



### Note Taking



### Note Taking App Usage



# Rachael, the Stay at Home Mum



## Lifestyle

- Home life is hectic for Rachel as she has all the children & home responsibilities
- Dave leaves early and home late
- Financial pressure is relentless as there is really only one salary now
- They have a great home, but it would be just nice to afford a holiday

## Personal Background

- Age 40 years
- Married with two children
- Live, the Northern Beaches of Syd

## Business Background

- Has a Marketing Background
- Is setting up an Internet Business in Promotional Items
- Husband David has a high paying job in Finance

## Their Challenges/ Pain Points

- High Mortgage gives little spare cash
- Need to down size and reduce mortgage
- Sell property at a good price in a bad market

## Where do they go for Information

- Are heavy users of the Internet
- Are on Facebook, LinkedIn, Pinterest